TravelTide Rewards: Executive Summary

Prepared for Elena Tarrant, Head of Marketing, and the marketing team | Jacklynn Tong, Data Analyst | November 2026

In short: three of your proposed five perks match how our customers actually book, two should be tested before we roll them out, and the data suggests one new perk for customers who fly long distances. Every one of the 5,998 customers now has a perk their invitation can lead with.

Background

TravelTide wants to keep customers coming back by launching a rewards program. Your idea is that an invitation works best when it opens with the one perk a customer cares about most.

Objectives

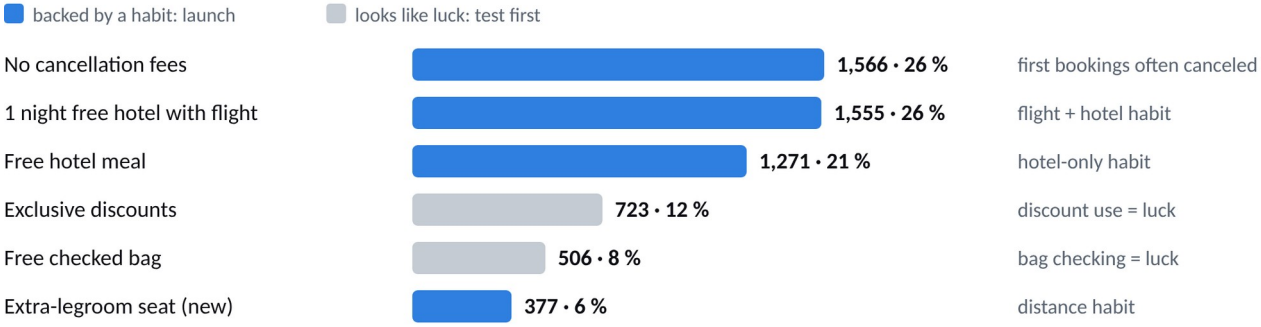
The main goal is retention: driving more customer sign-ups, frequent bookings, and long-term engagement. To support that, you asked me to look into two things: 1) whether our customer booking data supports the five perks you proposed, and 2) grouping each customer by their likely favorite perk so every invitation can be personalized.

Method

I worked with the cohort we agreed on: 5,998 customers with more than seven sessions since January 4, 2023, who together generated 49,211 sessions and 15,489 uncanceled trips. I sorted them into nine segments using simple, transparent rules and checked every rule against chance. I shuffled all trips between customers 50 times and only classified a pattern as a 'habit' if the real data beat 95 % of the shuffle trials. Customers who didn't fit any rule got the perk they scored highest on, and K-Means, DBSCAN and PCA served as an independent cross-check.

Four perks backed by customer habits cover 80 % of customers

4,769 of 5,998 customers get a perk that matches a habit; 1,229 get one to test first



Habit = more customers than in 95 % of 50 random shuffles of their trips · source: notebook 03, user_perks.csv

Key findings

1. **Three of your perks are backed by real habits.** Customers who mostly book hotel-only trips are 26 % more common than chance would predict, supporting the free hotel meal. Consistently booking flights and hotels together (+17 %) supports the free hotel night. Furthermore, customers with a single booking cancel it about three times as often as chance predicts, making no cancellation fees a natural fit for first-time bookers.
2. **Discounts and checked bags look like luck.** Neither pattern holds up against the shuffled data, and flight discounts don't seem to drive bookings: 23.8 % of sessions with a flight discount ended in a flight booking, compared with 29.1 % without one.
3. **Distance is a habit worth a new perk (+9 %).** Our long-haul customers mostly fly coast to coast (97 % of flights over 3,000 km stay within North America), but they don't check more bags than anyone else, so an extra-legroom seat suits them better than a free bag.
4. **Everyone is covered.** 76 % of customers get their perk from a segment rule, and the remaining 24 % (the All-rounders) receive theirs based on individual perk scores.

Recommendations

1. **Launch** the four habit-backed perks now.
2. **Test** exclusive discounts and the free checked bag against a control group before scaling them.
3. **Measure** sign-ups, booking rate (33.1 % today), trips per customer (2.6) and cancellation rate (3.8 %) against the control group, and pilot a 48-hour fare lock for the 556 Dreamers who haven't kept a booking yet.

The detailed report covers data preparation, the shuffle test mechanics, all nine segments, test designs, and underlying assumptions.